

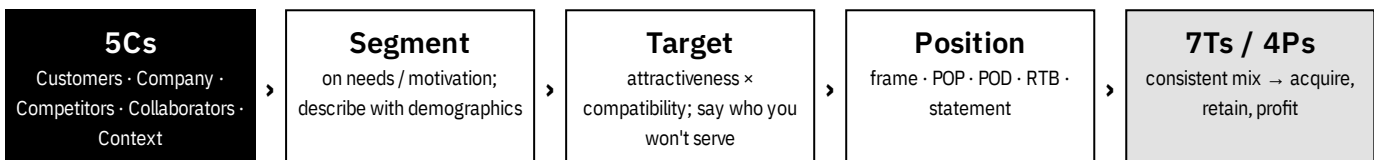
Marketing I

Open-Book Exam Notes

Built from your course outline, the Marketing I Key Learnings deck, the 2025 end-term paper, and Kotler, Keller & Chernev *Marketing Management* 17e (with page references).

A	Exam Playbook: 2025 paper decoded, 150-minute plan, answer skeletons, question finder	p. 2
B	Core Frameworks: Dolan 5Cs, value, consumer and B2B behaviour, segmentation, targeting, positioning, brands, competition, numbers	p. 5
C	Case Bank: all 14 sessions (i-mode → Spotify) with lessons and exam lines	p. 11
D	2025 Paper Solved: ITC Mangaldeep fact sheet, segment map, model answers within word limits	p. 15
E	Quick Reference: glossary with KK pages, chapter index, formula card	p. 19

★ The whole course in one line



The 12 ideas that score marks

- Consistency:** every choice must fit the 5Cs and every other choice (Dolan, i-mode).
- Define the market by the need**, not the product or the industry (KK p.34).
- A competitor is anyone the customer compares you with** (Trader Joe's).
- Value is only value if the decision-maker perceives it** (Aqualisa: plumbers).
- Serve the whole buying centre:** every member has different needs (Kimura).
- Segment on why (needs), reach on who (profile):** strategic vs tactical targeting (KK p.117–121).
- Targeting = choosing whom to ignore.** Use attractiveness × compatibility (KK p.117–120).
- Positioning = frame of reference + POPs + PODs** that are desirable, deliverable and differentiating (KK p.140–145).
- Statement:** For [target], [brand] is the only [frame] that [benefit] because [reason to believe].
- Portfolio: maximize coverage, minimize overlap;** master brand legitimizes, sub-brand individualizes (KK p.212).
- Trade-offs and fit** make advantage hard to copy (Trader Joe's). Choose what *not* to do.
- Pick customers by CLV/CAC**, and create value on every side of a platform (HubSpot, Spotify).

Before you write a single answer

- Read all questions, then the case. Tag facts as Cu / Co / Cm / Cl / Cx. Circle every number.
- Make a rough segment table: size, need, usage, WTP, loyalty, fit. **Choose targets now** so Q2–Q4 agree.
- Write the checkpoint times on your sheet: **38 · 60 · 82 · 109 · 142** minutes.
- Open to the matching **skeleton in A3** for each question. Open **D** to see how a full answer looks.
- Every answer: **verdict first**, named concepts, 2–3 case numbers, a table if it compares things, and **within the word limit**.

How to read references: **KK p.139** = printed page 139 of Kotler, Keller & Chernev 17e (in your PDF copy, page 160). "KL" = the Marketing I Key Learnings deck (Prof. Rajat Sharma's review).

Printing: A4, **single-sided**, "actual size" (not "fit to page") so the black section tabs sit on the right edge. Staple top-left or use a clip, so you can thumb straight to A–E.



Exam Playbook

What the paper asks, how to spend 150 minutes, and fill-in answer skeletons for each question type

A1 Last year's paper, decoded (End-term 2025, 100 marks, 2 h 30 min)

Q	What was asked (ITC Mangaldeep case)	Marks	Words	Framework the examiner wants	Go to
1	Using the 5 Cs , how does the brand define its market , and what is its current marketing objective ?	20	200	Dolan 5Cs situation analysis + G-STIC goal (focus, how much, by when)	A3-T1 · B1 · D-Q1
2	What variables define the segments ? Are age, gender, occupation, geography good criteria?	20	200	Segmentation bases vs descriptors ; strategic vs tactical targeting	A3-T2 · B5 · D-Q2
3	Which segment(s) to target and which not ? Rationale.	25	250	Target attractiveness × compatibility ; scoring table; trade-offs	A3-T3 · B6 · D-Q3
4	Positioning strategy for each chosen segment + positioning statements . Rationale.	35	500	Frame of reference, POP/POD, reasons to believe, statement template, brand architecture	A3-T4 · B7 · B8 · D-Q4

What this tells you

- One long case (about 12 pages + 5 exhibits). The questions walk the **Dolan chain: 5Cs → Segmentation → Targeting → Positioning**. That chain is Marketing I.
- 60 of 100 marks are Targeting + Positioning**. Save your best time and words for Q3 and Q4.
- The exhibits hold the answers: segment sizes, needs, purchase behaviour, prices, shares. **Quote numbers**.
- Word limits are strict (1,150 words total). Tables and crisp bullets earn marks per word.

Other question formats the course outline allows

- Caselets, MCQs, "simple questions about marketing applications", conceptual questions. Use **Section E** (glossary + KK page index) for these.
- Possible twists on the same chain: *value proposition for B2B buyers* (Kimura, A-One), *why is the product not selling* (Aqualisa), *competitive response* (Trader Joe's), *conjoint / WTP maths* (Omnitel, Apple-Samsung), *CLV / which customer* (HubSpot), *platform stakeholders* (Spotify).

A2 The 150-minute plan

Minutes	Do this
0–5	Read the questions first . Note what each needs (5C? segments? statements?).
5–30	Read the case. Tag margins with Cu / Co / Cm / Cl / Cx (Customer, Company, Competitor, Collaborator, Context). Circle every number. Study the exhibits closely.
30–38	Make a rough analysis sheet : 5C grid + segment table (size, need, usage, willingness to pay (WTP), loyalty, fit). Decide your targets <i>now</i> , because Q2–Q4 must agree with each other.
38–60	Q1 (20 marks) · about 22 min
60–82	Q2 (20 marks) · about 22 min
82–109	Q3 (25 marks) · about 27 min
109–142	Q4 (35 marks) · about 33 min (write the statements first, then the rationale)
142–150	Check word counts, consistency (same targets in Q3 and Q4), and that every answer ends with a clear recommendation.

Rule of thumb

About **1.1 min per mark** of writing time. Word budget: about **10 words per mark**.

Consistency test (examiners check this)

- The segments you **target in Q3** are the ones you **position in Q4**.
- Your **objective in Q1** is what your T&P choices deliver (e.g., "double revenue" → WTP and size of targets).
- The **variables in Q2** (needs, motivation) reappear as **PODs in Q4**.

A3 Answer skeletons by question type

T1 · "Use the 5 Cs to define the market and objective"

Opening line: "Brand defines its market as need/category for customers in geography, worth size, growth, where brands compete on basis of competition."

C	Write about	End each row with an implication (→)
Customers	Who buys / uses / influences (the decision-making unit, DMU); need and job-to-be-done; usage (how much, how often); purchase occasion; segments; trends	" → need is emotional, not just price-per-unit"
Company	Share and rank, assets (distribution, brand, supply chain), portfolio mix, awareness/trial metrics, gaps	" → strong reach, weak mind-share"
Competitors	Direct (named, shares), indirect/substitutes, unorganized players, basis of competition, likely response	" → commoditized price war"
Collaborators	Suppliers, channel partners, influencers (priests, plumbers), complementors, research partners	" → channel is the gatekeeper"

Context	Socio-cultural, technological, regulatory, economic, physical KK p.34	" → trend X opens segment Y"
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Objective (G-STIC goal): **focus** (revenue / share / brand love) + **quantity** + **time**. For example: "Double revenue in 3 years by moving from a price-per-unit, inward approach to consumer-led, differentiated offerings." **KK p.39-41**

T2 · "Which variables define segments? Are demographics good?"

- 1. Name the basis** the case uses (needs, benefits, motivation, attitudes, usage). Then name the **descriptors** (age, gender, region) used to profile segments.
- 2. Test each variable:** does it differ across segments *and* explain differences in need or response? Measurable? Substantial? Reachable? Actionable?
- 3. Verdict:** "Demographics and geography are good **descriptors** for reaching segments (tactical targeting), but poor **bases** because the same demographic contains all segments." **KK p.117, 120-121**

Variable	Varies across segments?	Explains why they buy?	Use as
Age / gender	Little	No	Media planning
Geography	Some skew	Partly	Distribution, regional variants
Occupation	No data / no	No	Not useful
Motivation / need	Yes	Yes	Basis

One-liner: "Demographics tell us *who* customers are; needs tell us *why* they buy. Segment on *why*, reach on *who*."

T3 · "Which segments to target / not target?"

- State criteria: **Attractiveness** (size, growth, usage, WTP/margin, loyalty, competitive intensity, strategic value: social, scale, information) × **Compatibility** (resources, brand fit, objective fit, can we win) **KK p.117-120**.
- Score each segment H/M/L in a table (see B6).
- Recommend in tiers: **Primary / Secondary / Serve, don't invest / Do not target**. Say what you will **not** do (the trade-off).
- Tie to objective: "Together these cover X% of consumers and have the highest WTP → the revenue goal is feasible."
- Risks: overlap, cannibalization, cost of serving → mitigation.

Why "not target" earns marks: strategic targeting means deliberately giving up some customers to serve others better. "Companies have failed because of their unwillingness to sacrifice market breadth." **KK p.117**

T4 · "Positioning strategy + statements for each chosen segment" (the 35-mark question)

For each segment, cover these six points:

- 1. Frame of reference:** what the segment compares you with **KK p.140**
- 2. POPs:** must-haves to be credible (category / correlational / competitive) **p.144-145**
- 3. PODs:** 1-2 benefits that are **desirable, deliverable, differentiating** **p.142**
- 4. Reasons to believe:** attributes and proof points **p.144**
- 5. Statement** (template below)
- 6. Execution:** name/sub-brand, product, pack, price band, channel, message, influencer (7Ts)

Then add a **brand architecture** paragraph: master brand + sub-brands; maximize coverage, minimize overlap **p.212**. One mantra ties them together **p.147**.

Course template (Key Learnings deck):

For target market, **Brand X** is the only brand among all competitive set that unique value claim because reasons to believe.

KK short form: For target, **Brand** offers key benefit. **p.139**

500-word budget: intro + architecture about 60 · each segment about 130 (FoR, POP, POD, RTB, statement, 7T moves) · closing rationale about 50.

Quality checks before you finish: (1) Would the ad still work if a competitor's name replaced yours? If yes, it isn't distinctive (**brand substitution test**, KK p.139). (2) Does it hit **head and heart**? (3) Is it slightly **aspirational** but deliverable? (4) Are the segment positions **distinct from each other** (no internal overlap)?

T5 · Any "What should the company do?" question (the course outline's case method)

1 Problem Decision issues, prioritized, and why they matter	→	2 Options 2-3 real alternatives (include "do nothing")	→	3 Decision and rationale against explicit criteria	→	4 Consequences positive and negative	→	5 Plan to handle the negatives
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Then check **consistency**: every element of the plan must fit the 5Cs and each other (i-mode lesson). Add a short-term vs long-term split when asked "can this customer be saved?" (Kimura).

T6 · "Why is X not selling / why did Y fail?"

- Walk the **customer journey / DMU**: who must be aware, convinced and willing at each step? Where does it break?
- Separate **value** from **perceived value**: good product ≠ perceived by the gatekeeper (Aqualisa: plumbers).
- Check **inertia, switching cost, risk** for each actor. Check **channel incentives**.
- Fix: target the actor that unlocks adoption (beachhead). Educate, give trial, reduce risk.

T7 · "Which customers should we serve?" (B2B / platform)

- Compare segments on **CLV vs CAC**, churn, WTP, cost-to-serve and fit with the product (HubSpot: Owner Ollie vs Marketer Mary).
- For platforms, list **value to each side** (listeners, artists, labels) and the **network effect** you are protecting (Spotify).
- For B2B, map the **buying centre**: who initiates, uses, influences, decides, approves, buys, gatekeeps (Kimura, A-One).

A4 Writing for marks under a word limit

- **Lead with the answer.** The first sentence is the recommendation or verdict.
- **Fact → implication.** Never restate the case without saying "so what".
- **Name the concept** ("target compatibility", "category POP", "straddle positioning"). It shows you know the course.
- **Use 2–3 case numbers per answer** (shares, % of consumers, prices, usage).
- **Use the case's consumer language** (Scorpio lesson: "recreate segments using consumer language").
- **Tables for comparisons.** Bullets for reasons. Short paragraphs for the argument.

Useful phrases

- "The market is defined by the need, not the product: consumers buy ___, not ___."
- "Price-per-unit competition has commoditized the category; the way out is need-based differentiation."
- "This segment scores high on attractiveness but low on compatibility, so we serve it without investing."
- "We accept the trade-off of not serving ___ in order to own ___ in the customer's mind."
- "POP on ___ neutralizes the leader's advantage; POD on ___ gives a reason to switch."
- "The master brand carries trust; sub-brands carry segment-specific promises. Coverage without overlap."
- "Value that is not perceived by the decision-maker is not value."

A5 Question finder: if the question says... use...

If the question says...	Use this framework / concept	Notes	KK page
"Situation analysis", "define the market", "diagnose"	Dolan 5Cs (with the Key Learnings sub-points); market value map	B1	p.32–38
"Marketing objective", "goal", "plan"	G-STIC: goal focus + quantitative + temporal benchmark	B1	p.39–42
"Value proposition", "perceived value", "what does the customer value"	Functional / economic / social / experiential value; total benefit – total cost vs alternatives; 3-V (customer, collaborator, company)	B2	p.35, 138–139
"Customer behaviour", "why don't they buy", "adoption"	5-stage process, decision sets, choice rules, inertia, risk, Rogers/Moore adoption, core descriptive concepts checklist	B3	p.62–71, 390–391
"B2B customer", "buying centre", "save this customer"	Buying situations, 7 buying-centre roles, DMU questions, relationship and trust	B4	p.78–79, 87
"Segments", "segmentation variables", "bases"	Needs/benefit bases vs profile descriptors; behavioural (user status, usage, readiness, loyalty, occasion); VALS; MSADA test	B5	p.120–131
"Target", "which segment", "focus"	Attractiveness (monetary + strategic) × compatibility (resources); targeting patterns; scoring table	B6	p.116–125
"Position", "positioning statement", "concept"	FoR, POP/POD, RTB, mantra, bullseye, straddle, perceptual map, laddering	B7	p.137–151
"Brand portfolio", "architecture", "sub-brand", "reposition"	House of brands / branded house / sub-brand; flagship; line stretching; brand prism; resonance pyramid	B8	p.164–166, 204–213
"Competition", "respond to competitor", "competitive advantage"	Competitor = anyone the customer compares you with; leader/challenger/follower/nicher; attack and defence; trade-offs and fit	B9	p.360–369
"Market size", "forecast", "demand"	Chain-ratio; market potential vs forecast; say/do/done methods; switching matrix	B10	p.107–108
"Conjoint", "willingness to pay", "price the feature"	Part-worths, attribute importance, WTP = Δ utility ÷ utility per ₹, share simulation	B10	p.108
"Which customers are most valuable", "inbound vs outbound"	CLV, CAC, churn, LTV:CAC, funnel	B10–B11	—
"Business model", "platform", "stakeholders"	Market value map; two-sided platforms; network effects; market-driving vs market-driven	B11	p.38, 368

Mistakes that cost marks

- Listing 5C facts with no implication or objective at the end.
- Calling age, gender or region a "segment". Those are descriptors, not needs.
- Targeting everyone ("all five segments"), or not saying who you will **not** serve.
- Positioning statements that are slogans. A statement needs a **target, a frame, a benefit and a reason to believe**.
- Two sub-brands with the same promise (internal overlap, cannibalization).
- Recommending a price cut when the real barrier is awareness, trust or the channel (Aqualisa).
- Going over the word limit, or answering in the wrong order.

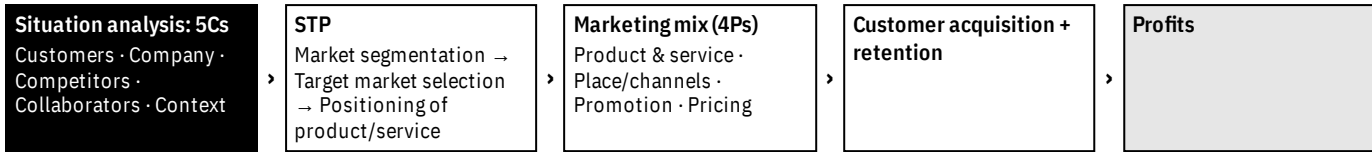
What to carry into the exam hall

- These notes (tabs A–E on the right edge; print single-sided so tabs stay on the edge).
- Kotler 17e if allowed. Every **KK p.** reference here points to the book's printed page number.
- Case readings and your class notes on each session case.
- A pencil and ruler for quick 2×2 perceptual maps and scoring tables. A map is worth drawing in Q4.
- A watch. Write the time checkpoints (min 38, 60, 82, 109, 142) at the top of the answer sheet.

B Core Frameworks

Course frameworks (Dolan note + Key Learnings deck) combined with Kotler–Keller–Chernev 17e, with page references

B1 The course spine: Dolan's framework for marketing strategy



Three value tasks: **Creating value** (5Cs, STP, product) · **Capturing value** (price, profit) · **Sustaining value** (retention, loyalty). **Core principle:** every element must be **consistent** with the 5Cs and with each other. The framework adds structure to an unstructured problem (i-mode). Source: adapted from Robert Dolan, *Note on Marketing Strategy* (HBS 9-598-061), Key Learnings slides 2–3.

The 5Cs checklist from the Key Learnings deck (use these sub-points in Q1-type answers)

Customers i-mode, Quartz, Omnitel, Scorpio	Company nature of firm's management	Competitors Kimura, Scorpio, Trader Joe's	Collaborators who are they?	Context / market idiosyncrasies Omnitel, Scorpio, Evoo, HubSpot
Existing usage pattern Existing thinking Conjunctive / disjunctive choice AIDA Resistance to change Trade-offs Educating customers Buying process	Risk-taking propensity Cohesion Speed Philosophy Long-term objectives (add: resources, share, brand, capabilities)	What is the competition like? Competitive response Level of competition Entry barriers Switching costs	Complementary products Infrastructure Value-chain completion Co-creation of products Services sought	Level of customer knowledge Flow of information Logistics flow Supply vs demand Fashions / trends Nature of substitutes Financial infrastructure

KK version of the 5Cs (p.32–34, Fig 2.2)

- **Target customers** sit at the centre. Two principles: company and collaborators must create **superior value for them** vs competition, and they must **create value for the company**.
- **Collaborators** supply complementary resources the company lacks: suppliers, manufacturers, distributors, R&D, service providers, agencies.
- **Competitors** "aim to fulfil the same needs of the same customers". Avoid a myopic, industry-based definition.
- **Company:** the business unit managing the offering.
- **Context**, 5 factors: **socio-cultural, technological, regulatory, economic, physical**.

Key insight: choosing target customers determines everything else. Change the target and the competitors, collaborators, resources and context all change (p.34).

Market value map = business model (p.38, Fig 2.6)

Strategy	Tactics
Target market (5Cs) Value proposition (customer / collaborator / company value)	Offering: 7Ts product · service · brand · price · incentives · communication · distribution

7Ts vs 4Ps (p.36–38): Product P = product + service + brand. Price = price. Promotion P = incentives (add value) + communication (inform). Place = distribution. Design value = product, service, brand, price, incentives. Communicate = communication. Deliver = distribution.

Customer's view (4As) (p.37): Attractiveness, Awareness, Affordability, Availability.

5Cs vs Porter's Five Forces (p.34)

Five Forces (supplier power, buyer power, threat of entrants, threat of substitutes, rivalry) looks at **industry** attractiveness. The 5Cs define the market by **customer need**, so "substitutes" are simply cross-category competitors. Use the 5Cs for offering-level decisions and Five Forces for industry structure.

3-V market value principle (p.35)

A viable offering creates value for all three: **customer value** (why will customers choose it over alternatives?), **collaborator value** (why will partners back it?) and **company value** (why invest here vs other options?). Failing any one makes the business model unsustainable. Examples: Aqualisa's plumbers, i-mode's content providers, Spotify's artists.

G-STIC action plan (p.39–42, Fig 2.7)

Goal	Focus (monetary: profit, ROI; or strategic: volume, awareness, brand) + quantitative benchmark + temporal benchmark. E.g., "net income of \$40m in 1 year" (KK example).
Strategy	Target market + value proposition (+ positioning statement)
Tactics	The 7Ts
Implementation	Resource development → offering development → commercial deployment (selective launch vs large-scale rollout)
Control	Evaluate performance vs benchmarks + monitor environment. Continue, modify or abandon.

B2 Customer value

Course: 4 types of customer value (KL slide 11)

- **Functional:** performance, features, reliability
- **Economic:** price, total cost of ownership, savings
- **Social:** status, belonging, image in others' eyes
- **Experiential:** feelings, sensory, emotional experience

KL case table also classifies the value proposition as **cognitive** (rational) vs **affective** (emotional) and value as **one-time** vs **lifetime**.

KK: 3 value domains (p.138)

- **Functional:** performance, reliability, durability, compatibility, ease of use, customization, style, packaging
- **Psychological:** emotional and self-expressive benefits (luxury, fashion)
- **Monetary:** price, fees, discounts, rebates, cost of use and disposal (dominant in commoditized categories)

Customer perceived value (p.138)

CPV = total customer benefit – total customer cost, judged relative to perceived alternatives. Raise benefits or cut costs (price, effort, risk, time).

Value vs perceived value (Aqualisa): superior engineering creates value only if the **decision-maker perceives and believes it**.

Value proposition vs positioning (p.138–139): the value proposition is the **whole cluster of benefits promised** (Volvo: safety + performance + design + environment). Positioning zeroes in on the **key benefit** that gives a compelling reason to choose (Volvo = safety).

Customer value analysis, 4 steps (p.138–139): (1) identify attributes and benefits customers value → (2) assess their relative importance (if ratings diverge, **cluster into segments**) → (3) rate company vs competitors on each → (4) monitor over time. If you lead on all important attributes: charge more *or* gain share at the same price.

B3 Consumer behaviour

What shapes behaviour (p.53–61)

- **Cultural** (culture, subculture, social class): broadest and deepest influence. **Social** (reference groups, family, roles). **Personal** (age, life stage, occupation, lifestyle, personality).
- **Psychological processes:** motivation (Maslow: physiological → safety → social → esteem → self-actualization, p.57–58), **perception** (selective attention, distortion, retention, p.59), emotions, **memory** (associative network of nodes and links, p.60–61).

Five-stage buying process (p.62–71, Fig 3.3)

Stage	Marketer's job
1 Problem recognition	Find triggers: internal or external stimuli; natural depletion, dissatisfaction, life/goal change, social influence (p.64)
2 Information search	Heightened attention vs active search. Sources: personal, commercial, public, experiential. Commercial <i>informs</i> , personal <i>legitimizes</i> (p.64–65)
3 Evaluation	Beliefs, attitudes, attribute bundles. Expectancy-value model (below) (p.66–67)
4 Purchase decision	5 sub-decisions: brand, dealer, quantity, timing, payment. Intervening factors: attitudes of others, unanticipated situational factors, perceived risk (p.67–71)
5 Post-purchase	Satisfaction = expectations vs performance. Dissonance. Exit vs voice. Usage and disposal (p.71)

Consumers may **skip or reverse** stages (routine rebuy goes straight from 1 to 4). The journey is iterative, not linear (p.62).

Decision sets (p.65, Fig 3.4): total set → **awareness** set → **consideration** set → **choice** set → decision. Your brand must enter each set. **Market partitioning:** the attribute hierarchy (brand-, price-, type- or nation-dominant) can reveal segments.

Choice rules

Rule	How it works
Compensatory (expectancy-value)	Score = $\sum$ (importance weight × belief). Strengths offset weaknesses (p.66–67)
Conjunctive	Set a minimum cut-off on <i>every</i> attribute. Reject any option that fails one. (Screening: "must be safe AND affordable")
Disjunctive	Accept an option that is <i>excellent on at least one</i> key attribute ("best camera OR best battery")
Lexicographic	Pick the best on the most important attribute. Use the next attribute only to break ties
Elimination by aspects	Drop options failing a cut-off, attribute by attribute, in order of importance

Expectancy-value worked example (p.67): weights memory .4, graphics .3, size .2, price .1. Laptop A beliefs 8, 9, 6, 9 → $.4(8) + .3(9) + .2(6) + .1(9) = 8.0$ (best; B = 7.0, C = 6.0, D = 5.0). **Lever for a lagging brand:** redesign the product; change beliefs about your brand; change beliefs about competitors; shift importance weights toward your strengths.

Heuristics, framing and involvement (p.68–70)

- **Heuristics:** availability, representativeness (base-rate neglect), conjunction fallacy.
- **Framing:** presentation shifts choice (₹200 looks cheap next to ₹400). **Mental accounting:** segregate gains, integrate losses, integrate small losses with large gains, segregate small gains from large losses ("silver lining"). Choice architecture and nudges.
- **Elaboration likelihood model:** **central route** (needs motivation, ability and opportunity) vs **peripheral route** (celebrity, packaging, repetition). Low involvement → habit, not loyalty.
- **Raising involvement:** link to an engaging issue, a personal situation, strong emotions/values, or add an important feature.
- **Perceived risk** (p.71): functional, physical, financial, social, psychological, opportunity (time). Reduce with brands, warranties, trials, referrals.

Course's recurring behaviour patterns (KL slides 3, 14)

Inertia / resistance to change	Plumbers stick with what they know (Quartz)
Reference point	Customers need something familiar <i>and</i> different (i-mode)
Comparison	Buyers compare against alternatives and past suppliers (Kimura)
Benefits come from attribute bundles	i-mode, Quartz, A-One
Switching costs	Lock-in, loyalty (i-mode)
Trade-offs · educating customers · AIDA	Attention → Interest → Desire → Action. Buyer-readiness: unaware → aware → informed → interested → desire → intend p.130

Adoption of innovations **p.390–391**

Rogers: innovators 2.5% · early adopters 13.5% · early majority 34% · late majority 34% · laggards 16%. Adoption is faster with **relative advantage, compatibility, low complexity, divisibility (trialability), communicability (observability)**.

Moore, *Crossing the Chasm* (Ch 1–3): technology enthusiasts → **visionaries** → [CHASM] → **pragmatists** → conservatives → skeptics. Visionaries buy a breakthrough. Pragmatists buy a proven, **whole product** with references from other pragmatists. **Cross via a beachhead niche (the D-Day analogy)**: dominate one segment, then expand like bowling pins. Use for i-mode 3G, Aqualisa and Spotify.

Core descriptive concepts for analysing consumer behaviour (KL slide 15): a checklist of questions for any case

Define the market: What consumer problem are we solving? What goals are we helping them attain? Which needs, latent or manifest, are we filling?

Decision-making unit: Who uses? Who buys? Who approves? Who chooses? Who influences? Who pays? Who evaluates the outcome?

Use frequency: heavy vs light users.

Decision process type: utilitarian, low-involvement, ego-expressive or hedonic?

Sequence: What triggered the need? Search on how to choose, which alternatives, which criteria, how each performs. How are alternatives evaluated? How does experience feed back? What would cause re-evaluation?

Relationship: What has gone wrong? Positive surprises? Human analogy: partnership, master/slave, best friend, casual acquaintance, true love, dependency, transitory passion.

Brand relationship quality vs other brands: love, commitment, trust, interdependence, intimacy, attachment.

Market diffusion: What did consumers do before? What will make it obsolete? Which product and consumer traits speed adoption? Who are early adopters and laggards?

Attributes influencing choice: How do consumers judge similarity? Which attributes are *determinant*? Relative importance?

Buying situation: Why are non-buyers not buying? What keeps needs latent or passive?

Usage: how much, how often, when, where, with whom? What would raise usage? What is salient? Who gets credit or blame? Storage, transit, application, accompanying services.

Segmentation on behaviour: benefit segments, usage frequency, relationship strength (committed vs swing) or type.

Relationship effects: likelihood to recommend, try extensions, resist competitors; relationship length; size of consideration set; price premium commanded.

B4 Business (B2B) buying

Buying situations **p.78:** **straight rebuy** (reorder from an approved list; outsiders must exploit dissatisfaction), **modified rebuy** (change specs, price or terms; renegotiation, possible switch), **new buy** (most risk, most participants, longest; the seller's biggest opportunity; stages: awareness → interest → evaluation → trial → adoption).

Buying centre / DMU roles **p.79:** **Initiators · Users · Influencers** (often technical people) · **Deciders · Approvers · Buyers** (select vendor, negotiate) · **Gatekeepers** (block access to information or sellers). One person can hold several roles. Typical centre: 5–6 people, sometimes dozens.

B2B demand is derived from end-consumer demand, with fewer, larger, concentrated buyers and professional purchasing **p.77–78**.

Kimura lessons (KL slide 10): each person in the buying centre has different requirements, so serve all of them. Choose customers you are capable of serving. Customer orientation is the whole business, not the marketing department. Communication, professionalism and **manager accountability** matter.

Managing B2B relationships **p.85–88:** overcome price pressure (value, collaboration, services), and build corporate **trust, credibility and reputation**.

B5 Segmentation

Definition **p.126:** a segment is a group of consumers who share a similar set of **needs and/or profile characteristics**. Segmentation groups customers by differences that matter for targeting and ignores irrelevant ones (p.132).

Basis	Variables	KK
Demographic	Age/generation, life cycle and life stage, gender, income, occupation, education, religion, ethnicity, social class, household size	p.126–128
Geographic	Nation, region, state, city, neighbourhood (pin code), urban/rural, climate; current geolocation	p.128–129
Behavioural	User status (non, potential, first-time, regular, ex) · usage rate (light/medium/heavy) · buyer-readiness · loyalty status (hard-core, split, shifting, switchers) · occasions · benefits sought · role in the DMU	p.129–130
Psychographic	Personality, values, attitudes, interests, lifestyle. VALS : primary motivation (ideals / achievement / self-expression) × resources	p.130–131
Needs / benefit-based	Groups by the value sought (unobservable). The best <i>basis</i> . Link to observable descriptors to reach	p.116, 121

Bases vs descriptors: the Q2 idea

Strategic targeting works on **value** (needs, benefits), which is **unobservable**. **Tactical targeting** links value-based segments to **observable profile** variables (demographic, geographic, behavioural, psychographic) so you can reach them **effectively and cost-efficiently **p.120–121****.

KK example: the travel credit card. Value segment = wants travel rewards + uses often + won't default. Reach them via credit score, travel-magazine readership, luggage purchases (p.121).

Honda Element: targeted 21-year-olds, but the average buyer was 42 because psychographics (feeling young) beat age (p.130).

Criteria for useful segments (classic Kotler, "MSADA")

Measurable (size, purchasing power) · **Substantial** (big and profitable enough) · **Accessible** (reachable, servable) · **Differentiable** (respond differently to the mix) · **Actionable** (can design programmes for it). Add: **stable** over time.

Needs-based segmentation process (classic Kotler)

1 Group customers by needs and benefits sought → 2 identify descriptors (demographics, lifestyle, usage) for each → 3 segment attractiveness (growth, competition, access) → 4 segment profitability → 5 positioning (value proposition per segment) → 6 "acid test" (storyboards) → 7 marketing-mix strategy (all 7Ts).

Personas **p.121–122**

Detailed profiles of hypothetical target consumers (name, photo, bio) that bring segments to life (Best Buy Geek Squad's "Jill", "Daryl"). Don't over-generalize. Build

B2B	Demographic (industry, size, location) · operating variables (technology, user status, capabilities) · purchasing approach (centralized?, power structure, relationship, policies, criteria) · situational (urgency, application, order size) · personal (similarity, risk attitude, loyalty)	p.131
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several personas. The ITC case gives one per segment (Poonam, Kiran, Meera, Renuka, Geeta).

B6 Targeting

Targeting = choosing which customers to **prioritize** and which to **ignore** when designing, communicating and delivering the offering (p.116). It requires a deliberate trade-off: **forgo some customers** to serve others better (p.117).

Two questions (p.117): (1) Can we create **superior value for them?** → **target compatibility**. (2) Can they create **superior value for us?** → **target attractiveness**.

Compatibility: our resources (p.118–119)	Attractiveness: their value to us (p.119–120)
Business infrastructure (manufacturing, supply chain, service, management) · access to scarce resources · skilled employees · technological expertise / IP · strong brands · collaborator networks · (summary adds) established ecosystem, capital. Core competency = source of advantage + applies to many markets + hard to imitate.	Monetary value: customer revenues (size, growth, buying power, loyalty, price sensitivity, company pricing power, competitive intensity, context) – costs to serve (tailoring, communicating, delivering, acquiring, retaining). Strategic value: social (influence on others: opinion leaders, mavens) · scale (volume that lowers cost or builds network) · information (data, lead users).

Tactical targeting principles (p.121): **effectiveness** (reach all strategically viable customers) and **cost-efficiency** (reach *only* them).

Targeting patterns (p.116–124)

Mass (undifferentiated)	One offer for all. Lowest cost. Works when preferences are homogeneous (Model T)
Single-segment (concentrated / niche)	Deep knowledge, operating economies (Porsche, Enterprise). Risk: segment shrinks or is attacked. Attractive niche = distinct needs, will pay a premium, size + profit + growth potential, few competitors, specialization economies (p.123)
Selective specialization	Several attractive segments, little synergy; spreads risk (Crest Whitestrips)
Product specialization	One product for many segments (microscopes to university, government and industrial labs)
Market specialization	Many needs of one customer group (all products for university labs)
Differentiated / full coverage	Different offers per segment (Estée Lauder, Hallmark)
One-to-one / mass customization	Segment of one (Wagner skis, MINI configurator)

Multi-segment mistake (p.125): offerings built from production capability rather than segment needs end up competing for the same segment while other segments are ignored, and customers get confused. Tailor each offering to each segment.

Segment scoring table: draw this in Q3

Segment	Size (%)	Usage / WTP	Growth / trend	Loyalty once won	Competitive intensity	Strategic value	Fit with our brand and resources	Decision
Seg 1	H/M/L	H/M/L	↑ / → / ↓	H/M/L	H/M/L	social / scale / info	H/M/L	Primary / Secondary / Serve / Avoid

Rule: **High attractiveness + high fit** → **Primary**. **High attractiveness + low fit** → **build capability or partner**. **Low attractiveness + high fit** → **serve efficiently (no brand investment)**. **Low + low** → **avoid**.

B7 Positioning

Positioning = "designing a company's offering and image to occupy a **distinctive place in the minds** of the target market" (p.139). Should appeal to **head and heart**. Must be distinctive in meaning *and* execution. One foot in the present, one in the future (aspirational but attainable).

Competitive positioning requires (p.140): (1) choosing a **frame of reference** (target market + relevant competition), then (2) identifying optimal **points of parity** and **points of difference**.

Frame of reference (p.140)

Start with **category membership** (close substitutes), but the frame can be broader or aspirational. Choose it to create favourable comparisons (the UK AA as the "fourth emergency service"; poker as a "mind spot"). Communicate membership by **announcing category benefits, comparing to exemplars, or using the product descriptor** (p.150). Deliberately *affiliating* with another category can itself be the POD ("It's not delivery, it's DiGiorno", p.149).

Points of difference (PODs) (p.141–144)

Attributes or benefits consumers **strongly associate** with the brand, **evaluate positively**, and believe they **can't find to the same extent** in competitors. **Three tests**:

- **Desirable** to consumers: personally relevant, with a **compelling reason to believe** (Mountain Dew = more caffeine)
- **Deliverable** by the company: feasible, profitable, **pre-emptive, defensible**, hard to attack
- **Differentiating** from competitors: distinctive and superior (Splenda, Monster's 16-oz can)

Points of parity (POPs) (p.144–145)

Associations shared with other brands. The brand must be "**good enough**" (within a zone of tolerance) so consumers decide on other factors (Miller Lite "tastes great").

- **Category POPs**: essentials for a credible offering in the category (the "greens fees")
- **Correlational POPs**: negatives implied by your positives (cheap ⇒ low quality?)
- **Competitive POPs**: neutralize competitors' PODs (Visa adds prestige cards; AmEx widens acceptance)

"Often the key to positioning is not so much achieving a POD as achieving POPs!"

Multiple frames and straddle positioning (p.145–146)

Build the best positioning for each competitor set, then combine, or prioritize one frame. Avoid **lowest-common-denominator** positioning. **Straddle**: the PODs vs one frame become POPs vs the other (BMW: luxury + performance; Subway: healthy + tasty). Risk: credible in neither. Positioning should fit about **80%** of the brand's products.

Perceptual maps (p.146)

Plot brands on determinant attributes, overlay ideal points, and look for **holes** (unmet needs). Draw one in Q4 (see D-Q4 and the ITC Exhibit 5 axes).

Brand mantra (p.147–148)

A 3–5 word articulation of the brand's heart and soul, for **internal** use (Nike "authentic athletic performance", Disney "fun family entertainment"). Criteria: **communicate** (category + uniqueness), **simplify, inspire**. No competitor should excel on *all* its dimensions.

Lead with **benefits**. Attributes are "reasons to believe" / "proof points" (Dove's ¼ cleansing cream → softer skin) (p.144). Authenticity and brand personality can also differentiate.

Course version (KL slide 22): the value proposition must be Differentiated (drives overall profitability) · Differentiable · Desirable · Deliverable.

Conflicting benefits (p.150)

Low price vs high quality, taste vs low calories, powerful vs safe, ubiquitous vs exclusive. Fixes: a product that delivers both (GORE-TEX), branding (Nakd names), **two separate campaigns**, link to a person, place or thing with the right equity (M&S × Sienna Miller), or **reframe the negative as positive**.

Laddering (p.104) (Evove)

Ask a chain of "why?" questions: **attribute** ("well built") → **functional benefit** ("reliable") → **emotional benefit** ("family can reach me") → **core value** ("I help others"). Position higher up the ladder for emotional, defensible PODs. Pair with focus groups, used wisely.

Positioning as storytelling (p.150–151)

Narrative branding: setting, cast (brand as character), narrative arc, language. Useful for emotional or devotional categories. **Evove lesson (KL slide 21)**: positioning is a **feeling**, defined **relative to competition**. The statement must **reduce pain points** and **provide benefits**.

B8 Brands, portfolios and product lines

Brand architecture and portfolios (p.212–213)

Architecture sets **brand breadth** (which products share a name) and **depth** (how many variants). Multiple brands are needed when one brand can't stretch to all segments, and they also add shelf presence, retain variety-seekers and create scale economies.

Design principle: maximize market coverage (no target ignored) and minimize brand overlap (no internal competition). Each brand must be clearly differentiated and sized to justify its cost. Poorly differentiated brands → cannibalization and dilution → prune.

House of brands	Separate names per product or quality line (General Mills, P&G). Isolates failure; costly to build
Branded house	One umbrella name (Heinz, GE). Cheap launches and instant trust; risk of negative spillover
Sub-brand (hybrid)	Master + individual name (Kellogg's Rice Krispies; Mangaldeep Temple / Sadhvi / Anushri). Master brand legitimizes, sub-brand individualizes

Flagship product embodies the whole brand (Camry, Mercedes S-Class). **Branded variants** go to specific channels. **Co-branding**: two brands marketed together (p.213).

Product line decisions (p.162–166)

- **Line stretching**: **down-market** (reach price-sensitive buyers or block low-end rivals; risks: dilution and cannibalization of the core, p.164), **up-market** (growth, margin, prestige; buyers may doubt the brand's credibility), **two-way**.
- **Line filling**: more items in the current range. Overdone if it causes cannibalization or confusion, or meets no real need (p.166).
- **Modernization, featuring, pruning** (p.163–164).

Brand equity tools

- **Brand resonance pyramid (CBBE) (p.204–206)**: **salience** (who are you?) → **performance + imagery** (what are you?) → **judgments + feelings** (what do I think and feel?) → **resonance** (relationship, "in sync": loyalty, attachment, community, engagement).
- **Brand personality** (Aaker) (p.143): sincerity, excitement, competence, sophistication, ruggedness.
- **Kapferer brand identity prism** (Scorpio): **physique** (physical features) · **personality** (values, origin) · **relationship** (brand–customer bond) · **reflection** (stereotypical user) · **self-image** (how buyers see themselves). Sender side: physique, personality. Receiver side: reflection, self-image. Use it to find gaps between intended and perceived identity.
- **Brand elements** (name, logo, slogan, package) should be memorable, meaningful, likable, transferable, adaptable, protectable (the first three build the brand; the last three defend it) (p.208).

B9 Competition and growth

Who is a competitor? "Anyone the customer is thinking of and comparing you with when deciding whether to buy" (KL, Trader Joe's). Levels: brand → product form → category → generic (same need) → budget (same wallet). Market position = **share of market, share of mind, share of heart** (p.362).

Ansoff growth matrix (p.360–361): market penetration (current products, current customers) · market development (new users, channels, geographies) · product development (new products for current customers) · diversification (concentric, horizontal, conglomerate).

Position	Typical strategies (p.362–368)
Leader	Expand total market (new users, new uses, more usage; the leader gains most) · defend share : position, flank, pre-emptive, counter-offensive, repositioning (market broadening / diversification), contraction defence (p.368–369) · continuous innovation
Challenger	Pick objective and opponent (leader, equals, small firms, or disrupt the whole industry). Attacks : frontal (match everything; needs more resources), flank (fill gaps, uncovered needs, weak geographies), encirclement, bypass (new products, markets or technology), guerrilla
Follower	Cloner, imitator, adapter (the adapter often becomes a challenger). Innovative imitation can be as profitable as innovation (Levitt)
Nicher	Specialize (customer or product/service specialist). High margin vs mass marketer's high volume. Multiple niching reduces risk (p.365–366)

Trader Joe's lessons (KL slides 16–17)

- **Trade-offs are central to competitive strategy**: choose what not to do (limited SKUs, mostly private label, no promotions or loyalty cards).
- Advantage comes from an **integrated, self-reinforcing system of activities** along the value chain (Porter's "fit"). Rivals can copy one activity but not the whole system.
- Staff mirror customers ("over-educated and under-paid" serving the same) → a better connection that larger retailers find hard to match. Culture and values are part of the business model.

Pioneer advantage (p.364–365): inventor vs product pioneer vs market pioneer. Early entry can pay, but pioneers fail when the product is crude, badly positioned, too early, or under-resourced.

Market-driven vs market-driving (p.368): responsive (meets stated needs) → anticipative (future needs) → **creative** (solutions customers didn't ask for; Sony Walkman). Beware the "tyranny of the served market".

Jaworski, Kohli & Sahay (2000) (Spotify session): **market-driven** = learn and respond within the given market structure. **Driving markets** = change the **structure** (deconstruct by removing players; construct by adding players; functionally modify what players do) and/or change **behaviour** of customers, competitors or partners, directly or by changing their mindsets.

Omnitel lesson: a differentiated position avoids a price war with the leader, but a follower that creates a new market may still help the trusted leader.

B10 Sizing, forecasting and the quantitative toolkit

Demand concepts (p.107)

- **Market demand:** total volume bought by a defined group, area, period, environment and marketing programme.
- **Market potential:** the limit of demand as industry marketing effort $\rightarrow \infty$. **Market forecast:** expected (not maximum) demand.
- **Company demand** = its share at a given effort. **Company sales potential** $\leq$ market potential.

Chain-ratio sizing: Market (₹) = no. of target households $\times$ penetration $\times$ usage per period $\times$ price per unit.

Incase example: 2–4 sticks/day $\approx$ 730–1,460 sticks per household per year. At ₹0.50/stick $\approx$ ₹365–730 per household per year.

Forecasting: three bases (p.107–108)

What people say (buyer-intention surveys, sales-force composite, expert opinion) · **what they do** (market test) · **what they have done** (time-series, statistical demand analysis). Sequence: macro forecast $\rightarrow$ industry forecast $\rightarrow$ company share. **A-One lesson:** the plan needs demand estimates built from industry capacity, production, past trends and **seasonality**. Capacity utilization above the industry average signals "selling power".

Brand-switching matrix (Session 11 exercise)

Rows = brand bought last period, columns = this period. **Diagonal = repeat rate (loyalty)**. Next-period share = current shares $\times$ matrix. For two brands, steady-state share of A = $p(B \rightarrow A) \div [p(A \rightarrow B) + p(B \rightarrow A)]$. Read: **who you lose to** (vulnerability) and **who you win from** (clout).

Conjoint analysis (Wilcox note; Omnitel; Apple v. Samsung) (p.108)

1. Choose **attributes and levels** (include price).
2. Respondents rank, rate or choose among profiles.
3. Estimate **part-worth utilities** for each level.
4. **Attribute importance** = range of its part-worths $\div$ sum of all ranges.
5. **WTP for a feature** = Δ utility of the feature $\div$ utility per ₹ (from the price attribute's slope).
6. **Simulate share:** first-choice rule, or logit share = $e^{U_i} \div \sum e^{U_j}$. Cluster part-worths to find **benefit segments**.

Limits: hypothetical choices, few attributes, assumes compensatory choice, results depend on the levels chosen, measures **demand-side WTP**, not market price (the Apple v. Samsung damages debate).

Customer lifetime value and acquisition cost

Expected lifetime = $1 \div$ churn per period. **Simple CLV** (no discounting) = margin per period $\div$ churn.

Discounted CLV = $m \times (1+i) \div (1+i-r) - CAC$ (margin m each period incl. the first; retention r; discount rate i).

CAC = sales and marketing spend $\div$ new customers. **Payback** = CAC $\div$ monthly margin per customer. Healthy **LTV**: **CAC $\geq$ 3**.

Funnel (inbound): visitors $\rightarrow$ leads $\rightarrow$ qualified $\rightarrow$ customers. Revenue = traffic $\times$ conversion rates $\times$ price.

B11 Business models, platforms and inbound marketing

- **Business model** = target market + value proposition (customer, collaborator, company) + offering (7Ts). This is the market value map (p.31, 38).
- **Two- or multi-sided platforms** (i-mode: users + content providers + handset makers; Spotify: listeners + artists + labels). Create value on **each side**. Price one side to subsidize the other (freemium). Solve the chicken-and-egg problem.
- **Network effects:** **direct** (more users $\rightarrow$ more value for users) and **indirect / cross-side** (more listeners $\rightarrow$ more attractive to artists). They create winner-take-most dynamics and switching costs.
- **Managing uncertainty** (i-mode): innovative business model, **outsourcing risk** to partners, encouraging loyalty.
- **Inbound vs outbound** (HubSpot): inbound = being found (content, SEO, social; low CAC, scalable, slow). Outbound = interrupting (ads, cold calls, sales force; higher CAC, faster, needed for complex or high-value sales).
- **Choose segments by CLV/CAC**, not by volume. Churn kills small-business SaaS.
- **Freemium:** the free tier acquires users (funnel), the paid tier captures value. Watch conversion, and the content owners' view of the free tier (Swift).
- **"Respond to logic with logic and to emotions with emotions"** (KL slide 27): in public disputes (Spotify vs Taylor Swift), answer the emotional charge with empathy and the economic charge with facts.

B12 Worked numbers (illustrative figures; practise the method, not the values)

Conjoint $\rightarrow$ attribute importance and WTP

Attribute	Levels: part-worths	Range
Brand	A 0.9 · B 0.3	0.6
Battery	2 days 1.2 · 1 day 0.0	1.2
Price	₹10k 1.0 · ₹14k -0.2	1.2

Importance: battery = $1.2 \div (0.6+1.2+1.2) = 40\%$, price 40%, brand 20%.

Utility per ₹ = $1.2 \div ₹4,000 = 0.0003$ per ₹.

WTP for the 2-day battery = $1.2 \div 0.0003 = ₹4,000$.

WTP for brand A over B = $0.6 \div 0.0003 = ₹2,000$.

CLV and CAC: which customer?

	Segment X	Segment Y
Monthly revenue	₹10,000	₹20,000
Gross margin	80%	80%
Monthly churn	5%	2%
CAC	₹60,000	₹1,50,000

Lifetime: X = $1/0.05 = 20$ months; Y = 50 months.
CLV (undiscounted): X = $8,000 \times 20 = ₹1.6$ lakh; Y = $16,000 \times 50 = ₹8$ lakh.

LTV:CAC: X = 2.7; Y = 5.3 $\rightarrow$ prioritize Y even though acquiring each customer costs more. (This is the logic of HubSpot's Owner Ollie vs Marketer Mary.)

Brand-switching matrix

From \ To	A	B
A	0.80	0.20
B	0.30	0.70

Current shares A 50%, B 50%.

Next period A = $0.5(0.8) + 0.5(0.3) = 55\%$.

Steady state A = $0.30 \div (0.20 + 0.30) = 60\%$.

Reading: A has higher loyalty (80% vs 70%) and wins more from B than it loses. To gain, B must cut its 30% leakage (a retention problem) before it spends on acquisition.



Case Bank: Sessions 1–14

For each case: the decision, what to remember, the concepts to cite, and lines you can reuse in the exam. Built from the course outline and the Key Learnings (KL) deck.

C0 All cases at a glance (the KL deck's summary grid)

Case	B2B / B2C	Offer	Value horizon	Value prop.	Target profile	Segmentation variables	Point of difference	Managerial concepts
NTT DoCoMo i-mode	B2C	Product	Lifetime (young)	Affective, less cognitive	Trendy teens and people in their twenties	Demographic, behavioural	Matches customer need; innovative positioning	New-technology adoption, role of positioning, managing uncertainty, integrated strategy
A-One Starch (B)	B2B	Both	Long-term, entrepreneurial	Cognitive	Pharmaceuticals and confectionery	Behavioural	Service	On-time, proper communication; on-time delivery; demand forecasting
Kimura KK	B2B	Product + service	Lifetime	Cognitive	DVD producers	Behavioural	Best product in the category	Communication; serve every DMU member; professionalism; manager accountability
Aqualisa Quartz	B2C	Product + service	Lifetime	Both	Premium households	Psychological	Technologically superior product	Marketing-mix decisions; value vs perceived value; plumbers as primary customers
Trader Joe's	B2C	Product + service	Returning customer	Both (experience)	"Over-educated, under-paid" people	Profile	Value chain; integrated, self-reinforcing business model	Trade-offs; competitive advantage from business model; culture and values
Omnitel	B2C	Product	Lifetime	Both	Individuals, everyday use	Psychological	Customer data; positioned as an impulse product	Conjoint analysis; competition analysis; company buying
Evoe Spring Spa	B2C	Service	One-time	Affective	High-net-worth individuals (HNI)	Psychological	Positioning on health	Laddering interviews; focus groups; positioning decision
Scorpio	B2C	Product	Lifetime	Both	Young, aspirational, modern	Profile, psychological	Jeep-like big car	Brand prism; positioning decision
HubSpot	Both	Services	Lifetime	Cognitive	Small entrepreneurs, marketing managers	Profile	Inbound marketing methods; pricing	Marketing opportunity; product creation; CLV and pricing
Spotify	B2C	Services	Lifetime	Affective	Multi-sided: artists, labels, listeners	Behavioural, profile	Platform; network effects; paid subscribers	Digital music distribution; segmentation; artists' power; pricing options

S1 · NTT DoCoMo i-mode

Framework for marketing actions · Dolan note, KK Ch 1

Prep questions: Why did i-mode succeed? (Use the Dolan framework.) What should DoCoMo do to move customers to 3G?

Story: Japan's mobile internet service (launched 1999) became a mass success while PC internet use was still low. It was not sold as "the internet" but as a fun, useful phone service. Packet-based charging meant users paid for data, not connect time. DoCoMo billed on behalf of content partners and took a small commission. Simple content tools drew thousands of sites. Handset makers built to DoCoMo's spec. The core users were young people.

Why it worked (KL): the **context** (a new, evolving market; low internet penetration; no reference point) drove choices in technology, pricing and positioning, and **all the pieces were consistent**. Customers want something **familiar and different at the same time**. They resist change, suffer from inertia, and compare.

Managing uncertainty with a fickle base: innovative business model · **outsourcing risk** (content, handsets) · encouraging loyalty (switching costs).

3G move: 3G is a new-technology adoption problem. Satisfied 2G users need a clear relative advantage, compatibility (same content, same habits), trial and coverage. Target early adopters first, migrate content partners, and price to lower the risk of switching.

Cite: Dolan 5Cs → STP → 4Ps consistency · 3-V (collaborator value for content providers) · platform network effects · Rogers/Moore adoption.

S2 · A-One Starch (B)

Marketing decisions and customer value · KK Ch 2, 5

Prep questions: Diagnose the situation and prioritize the decision areas. Analyse the behaviour of, and value sought by, each customer type. Plan to satisfy customers and meet company objectives.

Key learnings: customer value differs by segment (pharma vs confectionery). A marketing plan needs a **demand estimate**, which depends on industry capacity and production *and* the firm's own marketing actions. A-One is a market leader with strong "selling power", because its **capacity utilization is well above the industry's**. The plan must combine market information with estimates built from **past trends and seasonality**.

POD = service: timely, proper communication; on-time delivery; accurate demand forecasting. In B2B, reliability often is the product.

How to answer: segment the B2B buyers by **value sought** (e.g., pharma: consistency, documentation, reliability; confectionery: availability, price, volume flexibility; *check against your case notes*) → prioritize customers by value to the firm → match allocation, service and pricing to each segment → build the forecast (industry demand × share, adjusted for seasonality).

Cite: G-STIC · B2B buying centre · demand concepts and forecasting (KK p.107–108) · customer value analysis.

S3 · Kimura KK: Can this customer be saved?

Customer value and behaviour · KK Ch 4

Prep questions: What is perceived value for a customer like Kimura? Why did Pramtex fail in Japan? What should it have done differently? Can the customer be saved in the short term, and in the mid-to-long term?

Key learnings: a foreign supplier (Pramtex) with the best product in its category loses a Japanese customer (a DVD producer), because **perceived value for a B2B buyer includes the relationship**: responsiveness, communication, professionalism and accountability, not just product specs.

- **Understand the B2B buyer:** each person in the buying centre has different requirements. Pay attention to **all** of them.
- **Choose customers well:** is my company capable of serving this customer's requirements?
- **Customer orientation** is not a specialized activity. It spans the whole business.

Answer shape: Short term: senior-level apology, fix root cause, visible corrective plan, local presence. Long term: change processes, accountability and culture. Or decide the customer is not a fit (target compatibility).

Cite: buying centre roles · modified rebuy / switching risk · trust and credibility (KK p.87) · total customer benefit (including the relationship).

S4 · Aqualisa Quartz: Simply a Better Shower

Customer value and market selection · KK Ch 3

Prep questions: What is Quartz's value proposition to plumbers? To consumers? Why isn't it selling? What should the MD (Rawlinson) do: target consumers directly, the DIY market, or developers? Cut price? Something else?

Story: a UK shower maker launches a technically superior digital shower (easier installation, steady pressure and temperature), but sales stall. **Plumbers** (who install and recommend) resist it: they fear call-backs with new technology, are comfortable with existing products, and don't see the benefit to *them*. Consumers rarely buy showers and rely on the plumber.

KL lessons: build an **integrated marketing plan** (strategic vision, product attributes, customer behaviour, channel dynamics). There is a difference between a **tactical** and a **strategic** approach.

Value ≠ perceived value. Plumbers are the primary customer. Behaviour pattern: **inertia**.

Answer shape: the barrier is the **gatekeeper's** perceived risk and inertia, not price, so don't cut price. Win plumbers first: demos, trial units, training, installation guarantee, then referrals. Use **developers** as a beachhead (volume, visibility, one decision-maker). Avoid DIY-first (risk to brand and plumber relations) unless it is sub-branded.

Cite: DMU · value vs perceived value · adoption (compatibility, trialability, observability) · channel conflict.

S5 · Fundamentals of customer behaviour

KK Ch 3 (no case)

Revise B3: factors (cultural, social, personal), psychological processes, the 5-stage process, decision sets, choice rules (compensatory vs conjunctive, disjunctive, lexicographic), heuristics and framing, involvement (ELM), perceived risk, post-purchase behaviour, and the KL "core descriptive concepts" checklist.

S6 · Trader Joe's

Understanding competition · KK Ch 17

Prep questions: What competition does Trader Joe's face? What should it do to counter it and serve customers better?

Story: a US specialty grocer with a small, curated range of mostly private-label, unique products; no sales promotions or loyalty cards; a quirky newsletter; friendly, well-paid crew; high sales per square foot. It is squeezed by upscale natural grocers, discounters and online grocery.

KL lessons: a competitor is **anyone the customer compares you with** when deciding to buy. Staff who are "educated and under-paid" serve a similar target, which creates a connection big retailers can't match. **Trade-offs** (choosing what not to do) are central. Advantage comes from an **integrated, self-reinforcing system of activities**.

Answer shape: don't copy rivals (e-commerce, a huge range, promotions) if doing so breaks the system. Deepen the PODs (discovery, value, experience). Defend with position and flank defences. Grow through new stores or market development before stretching the model.

Cite: competitor definition · Porter's trade-offs and fit · defence strategies (KK p.368) · business model as advantage.

S7 · Apple vs Samsung: The \$2 billion case

Value and segmentation · Wilcox conjoint note, KK Ch 6

Story: in the smartphone patent litigation, Apple's damages expert used **conjoint analysis** to estimate consumers' willingness to pay for specific patented features. Samsung contested whether survey WTP equals real damages.

Learn: the full conjoint mechanics (B10 and B12) and how WTP is derived. **Critique:** conjoint gives **demand-side WTP**. Market price also depends on competition and supply, so WTP ≠ price premium ≠ lost profit. Results are sensitive to the attributes and levels chosen and to the hypothetical setting.

Use: conjoint part-worths can **define benefit segments** (cluster respondents by what they value).

S8 · Omnitel Pronto Italia

Behaviour + segmentation + positioning · KK Ch 6, 7

Prep questions: What is customer behaviour like at this stage of Italy's mobile market? What value is sought? What segments are available? Comment on using conjoint to set price and positioning.

Story: the second entrant in Italian mobile telephony takes on the dominant incumbent and must decide which customers to chase and how to price a new offer.

KL lessons: a market-driven process of creating value. Use **conjoint** to analyse preferences and **quantitative data** to identify target segments. **Differentiated positioning can avoid price wars** with the leader. When a follower creates a new market, it may still benefit the **trusted leader**. The POD came from customer data, and the product was positioned as an **impulse** product for everyday use.

Cite: challenger strategies (flank/bypass rather than frontal) · conjoint → price and positioning · psychological segmentation.

S9 · Evoo Spring Spa: A Positioning Dilemma

Target market and positioning · KK Ch 7

Prep questions: Identify and explain the variables used to define consumer segments. Who is the target audience, and why? Which of the three positioning concepts would you recommend, and why?

KL lessons: segmentation need not be demographic. **Benefits, psychographics, lifestyle and behaviour** can be the critical criteria. **Positioning = a feeling, defined relative to competition.** Use positioning maps. Use focus groups wisely. The statement should **reduce pain points** and **provide benefits**. Target: HNI. Affective, one-time value. POD: positioning on **health**. Tools: **laddering** interviews, focus groups.

Answer shape (same as 2025 Q2–Q4): variables → target → evaluate each concept on desirability, deliverability, differentiation, fit with the target, and competitive distinctiveness.

S10 · Scorpio from Mahindra

Brand positioning decision · KK Ch 7, 10

Prep questions: List Mahindra's steps in developing Scorpio's positioning and the key aspects considered. What were the alternative positioning options? What do you recommend?

KL lessons: use the **brand prism** to find gaps. **Operationalize** the position through critical decisions (design, price, dealers, communication). **Recreate segments using consumer language.** Learn how companies build a **repositioning** strategy. Target: young, aspirational, modern. POD: a "Jeep-like" big car.

Answer shape: research → segments in consumer words → options (e.g., rugged utility vehicle vs car-like lifestyle SUV vs value family vehicle) → choose on target fit + POD + brand-prism consistency + Mahindra's credibility (POP on comfort vs cars, POD on toughness vs cars) → execution.

S11 · In-class exercise

Customer value, competition and brand switching · KK Ch 6

Expect a switching or loyalty matrix. Compute next-period and steady-state shares. Identify **loyal vs switching segments** (hard-core, split, shifting, switchers; KK p.130) and **whom each brand loses to**. Link this to the competitive set (who is really your competitor?). See the worked example in B12.

S12 · HubSpot: inbound marketing

Selecting a marketing opportunity · KK Ch 8

Prep questions: Is HubSpot serving the right customers? Should the founders (Halligan and Shah) add outbound marketing, or stay inbound-only?

Story: a start-up selling inbound-marketing software (be found through content, SEO and social rather than interrupting people) to small and medium businesses. Two personas: **"Owner Ollie"** (small-business owner, lower price tier, higher churn) and **"Marketer Mary"** (marketing manager at a larger SME, higher tier, stickier).

KL lessons: inbound vs outbound and customer funnels · choosing segments · **CLV and CAC** · pricing · product creation.

Answer shape: compare segments on CLV, CAC and churn (see B12) → focus on the higher-CLV segment (Mary) → add **targeted outbound** (inside sales, partners and resellers) where deal value justifies CAC, while keeping inbound as the low-cost engine and proof of concept ("practise what you preach").

S13 · SpotifyMarket-driving vs market-driven · Jaworski, Kohli & Sahay (2000); *Crossing the Chasm* Ch 1–3

Prep questions: Evaluate Spotify's business model from every stakeholder's view. Why is Taylor Swift demanding a full catalogue takedown? How should Spotify respond publicly?

Story: a freemium streaming platform (an ad-supported free tier funnels users to paid subscriptions) sitting between **listeners, artists and labels**. In 2014 Swift pulled her catalogue, objecting to her music being available free. Spotify's founder answered publicly with the royalties paid to rights-holders (about \$2bn to date at that point).

Stakeholders: listeners (access, convenience, personalization) · labels (revenue, control, a replacement for lost piracy income) · artists (fair pay, control, exposure; superstars have **power**) · advertisers.

KL lessons: two-sided business models · value on each side · digital platforms and **network effects** · **driving markets vs market-driven** · segmentation opportunities · pricing options (e.g., windowing new releases, artist-controlled free tier, tiered plans) · **"respond to logic with logic and to emotions with emotions."**

Spotify is also a KK Ch 3 spotlight (p.72–73): it succeeded through convenience, selection, personalization and value.

S14 · Module review

Integrate everything

The end-term tests the chain **5Cs** → **S** → **T** → **P** on a new case. Use Section A's skeletons. When you see a new case, ask: *Which session case does this resemble?*

New tech, adoption problem	i-mode, Aqualisa, Spotify
B2B relationship	Kimura, A-One
Positioning choice among concepts	Evoo, Scorpio, ITC Mangaldeep
Competing against a leader	Omnitel, Trader Joe's
Which customers / CLV	HubSpot
Quant preference / WTP	Apple–Samsung, Omnitel

C15 Need an example? Cite this case

Concept	Course case	Textbook example (KK page)
Consistency of the marketing mix	i-mode	Panda Express (p.33)
Collaborator value / 3-V	i-mode content providers; Aqualisa plumbers	Starbucks coffee growers (p.36)
Value vs perceived value	Aqualisa Quartz	Customer value analysis (p.138–139)
Buying centre / B2B relationship	Kimura; A-One Starch	Timken segmenting B2B customers (p.131)

Inertia / resistance to change	Aqualisa plumbers; i-mode → 3G	LinkedIn: getting people comfortable with a professional identity online (p.152)
Psychographic > demographic segmentation	Evoo; Omnitel; ITC Mangaldeep	Honda Element (p.130)
Conjoint / WTP	Apple v. Samsung; Omnitel	Conjoint (p.108)
Niche / single-segment	Trader Joe's	Enterprise, Valkyrie (p.123); Sriracha (p.365)
Multi-segment portfolio	ITC Mangaldeep	Estée Lauder (p.116); Hallmark (p.124)
Points of parity matter	Omnitel (vs the leader)	Miller Lite (p.144); Visa vs AmEx (p.145)
Straddle positioning	Rationalist bucket (devotion + wellness)	BMW (p.146); Subway (p.146)
Brand mantra	—	Nike, Disney (p.147)
Brand identity / repositioning	Scorpio (brand prism)	Cadillac, GM (p.142)
Trade-offs and fit	Trader Joe's	—
Challenger avoiding a price war	Omnitel	Flank / bypass attacks (p.367)
CLV-based customer choice	HubSpot	Timken (p.131)
Platforms / network effects / market-driving	Spotify; i-mode	Spotify (p.72–73); LinkedIn (p.152)

MY NOTES: CLASS DISCUSSION POINTS, PROFESSOR'S EMPHASIS

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

A

B

C

CASES

D

E



2025 End-Term Solved: ITC Mangaldeep

"Restructuring the Brand Portfolio for Growth" (Ivey W40186). Fact sheet, a redrawn Exhibit 5, and model answers written to the word limits.

D1 Case fact sheet (everything with a number)

Situation (1 Feb 2019)	
Decision-maker	Janani Kandaswamy, category brand lead, incense and fragrances, ITC
Objectives	(a) double revenue in 3 years (b) tap new levers of growth (c) make Mangaldeep the most loved devotional brand
Problem	#2 brand, good profits, sluggish topline . CAGR >25% (2007–13) fell to single digits (2017). Share stagnant at about 10% . Top-of-mind awareness 21% vs Cycle 30%. Trial stuck at 50%
Diagnosis	Whole industry sells on price per stick → commoditization. Needs a shift from an "inward, price-based" to an "outward, consumer-focused" approach. One-size-fits-all "pure worship" positioning
Market	
Size	About ₹80 bn (2017–18), growing 5–6% a year. India makes more than half the world's incense sticks
Spread	North + South 55%, West + East 45%. About 60% urban. Household penetration 91% (Kantar 2018)
Formats and use	Agarbatti (thin) and dhoop (thick). Primarily religious (purify air, positive energy). Secondary uses (air freshener, relaxation) are small but growing
Price tiers	Basic <₹0.30 · Economy 0.30–0.50 · Popular 0.50–0.85 · Premium >0.85 per stick
Structure	Top 10 = 49% . Top 3 = 30%: NRN (Cycle) 13.5% (strong in popular), ITC (Mangaldeep) 10.1% , MDPH (Zed Black) 6.6% (popular + economy). Regional: Patil Parimala 3.6, Moksh 3.6, Parimal Mandir 3.4, Darshan 2.5 ... Many unorganized players
Rivals' moves	New variants, pack sizes and shapes. Darshan's Blackstone (premium perfume trickle-down, East). Zed Black 3-in-1 combo

Mangaldeep	
History	ITC entered in 2003 by partnering small-scale and cottage units. Mangaldeep launched in 2004 in Andhra Pradesh, national within 6 months. Promise: "pure worship" , connecting to the divine and inner peace
Original target	Women aged 22–55 , devout, the "glue" of the family, praying for a peaceful and happy home
Firsts	"Fragrance-locked" packs, consistent quality, many sizes and fragrances at economical prices. Anushri created the basic category (more sticks at economy prices)
Packs	10 sticks ₹2 (top-up, temple) · 20 sticks ₹10 (weekly) · 100 sticks ₹30 (monthly). Usage 2–4 sticks a day , bought with monthly groceries . Lowest price ₹0.20 per stick vs ₹0.50 in the organized market
Reach and assets	500,000 outlets within a year. Better trade margins and schemes. Plants spread nationally (cost). Paperboard and packaging, brand-building
Portfolio (Ex 2)	Anushri (basic) · Sadhvi (economy) · Mangaldeep rose/mogra/sandal (popular) · Temple (premium). All "pure worship" + value, popular or premium fragrance

Range	Share of Mangaldeep sales	Share of industry	Read
Basic <0.30	21%	3%	Heavily over-indexed
Economy	39%	48%	Under
Popular	37%	45%	Under
Premium >0.85	3%	3%	Par

Two trends: (1) unbranded users (low involvement, price-driven, want **consistent quality at a low price**) are moving to low-price brands. Mostly **Transactional**s. (2) **Rising engagement** among those who look beyond price: Saviours and Purists (quality, variety, divine ambience) and **Rationalists** (emotional, shifting "from strict tradition toward practical modernity"). **Many will pay some premium** if needs are better met.

Three product buckets being considered: traditional devotional · modern contemporary · entry level.

D2 The five segments (Exhibit 4 condensed) and the map (Exhibit 5)

Segment	Size · where	Emotional need / belief	Behaviour and influencers	Role of the stick → expectation from fragrance	Purchase behaviour	Persona
Saviour	35% · higher in South and East	Security; protect family from evil energy; sees herself as the "gatekeeper"	Regimented, driven by worry; 7 days, ≥4 sticks, about 8 items per puja; pandits, gurus, astrologers	Purify the space, remove negativity → authenticity, naturalness, variety, long-lasting, spreads through the house	Detail-oriented; inflexible on brand and fragrance ; needs assurance	Poonam
Purist	12% · a third in the South	Please God, avert his wrath; custodian of tradition	No shortcuts, elaborate rituals; 7 days + special puja 4× a week; about 9 items; priests, elders	Create a temple-like divine space → authentic fragrance, divine ambience, long-lasting	Detail-oriented; high usage → wants promos and deals; will pay for the right ambience	Kiran
Rationalist	28% · West and East; some in nuclear families	Mood uplift through an uncomplicated connection with God; "God understands"	Few chosen rituals, flexible; looks inward (some family advice)	Own upliftment, focus → calm, positive state of mind; low smoke	Open to trial , likes variety, new relaxing fragrances, checks packs for aroma	Meera
Transactional	18% · all regions	Keep the family happy; gain acceptance	Set process without emotion; mother / mother-in-law decides	Complete the puja → familiar, preferred fragrances that please family	Not the decision-maker; low engagement; value for money	Renuka

Image-conscious	7% · North	Reward + social standing; puja as a status symbol	Precise rituals, glittery idols, visible at events; relatives and social circle	Please God <i>and</i> neighbours → compliments from neighbours	Variety-seeking, low loyalty , attractive packs; follows the shopkeeper	Geeta
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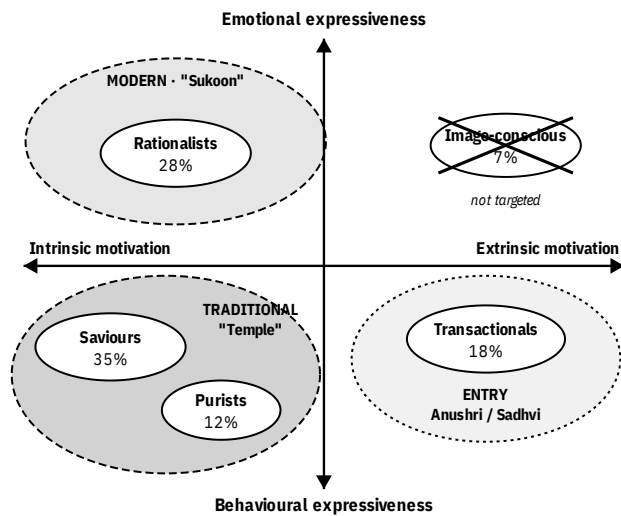


Exhibit 5 redrawn (not to scale) with the proposed sub-brand buckets overlaid. Draw this in Q4.

How the map reads

- **Extrinsic motivation** (right side: Transactionals, Image-conscious) → the brand is bought for *others* (family, neighbours). Low loyalty or low engagement. Hard to earn "love".
- **Intrinsic + behavioural** (Saviours, Purists) → ritual, protection, authenticity. The **traditional devotional** bucket. Heavy users. Brand-loyal once convinced.
- **Intrinsic + emotional** (Rationalists) → personal, calm, modern. The **modern contemporary** bucket. The growth lever.
- The three buckets Kandaswamy is considering map neatly onto these clusters. Say so in Q3 and Q4.

Examiner's lens: the case practically hands you the segments, the axes and the three buckets. Marks go for (1) using the **numbers**, (2) explicit **criteria** for targeting, (3) **statements in the proper format**, and (4) a **portfolio / architecture** view (the case title is "Restructuring the Brand Portfolio").

D3 Model answers

Written to the word limits; tables count toward the limit. Other targets can also be defended (see D4) if the criteria are explicit.

Q1. Using the 5 Cs, explain how ITC Mangaldeep defines its market in India and its current marketing objective.

20 marks · 200 words · this answer ≈ 182

Market definition: branded incense sticks (agarbatti, dhoop) for home worship in India: ₹80 bn, growing 5–6%, 91% household penetration, sliced by price per stick (basic → premium).

- **Customers:** devout women, 22–55, buying with monthly groceries and burning 2–4 sticks daily to complete the puja and bring peace home. The U&A study shows five motivation-based segments. Fragrance quality and variety outweigh price for many → the need is emotional, not price per stick.
- **Company:** ITC's FMCG muscle (500,000 outlets, trade margins, packaging, SME sourcing). #2 with 10.1% share, but top-of-mind awareness is 21% (Cycle 30%), trial is stuck at 50%, and the mix is skewed to basic (21% vs industry 3%) → reach without mind-share.
- **Competitors:** fragmented (top 10 = 49%): Cycle 13.5%, Zed Black 6.6%, regional and unorganized brands, all fighting on variants and price → a commoditized category.
- **Collaborators:** cottage/SME manufacturers, kirana retailers, Kantar.
- **Context:** ritual culture; nuclear families; shift from unbranded to branded; growing wellness and low-smoke uses.

Current objective: move from inward, price-led selling to consumer-led differentiation: **double revenue in three years**, open new growth levers, and make Mangaldeep the **most loved devotional brand**.

Q2. What variables define the customer segments? Are age, gender, occupation or geographic location good criteria for segmentation here?

20 marks · 200 words · this answer ≈ 174

Variables used: psychographic and needs-based:

1. **Motivation for puja:** intrinsic (Saviours, Purists, Rationalists) vs extrinsic (Transactionals, Image-conscious).
2. **Expression of devotion:** emotional (Rationalists, Image-conscious) vs behavioural/ritual (Saviours, Purists, Transactionals). See Exhibit 5.

Each segment is profiled on emotional need, beliefs, ritual behaviour (items, frequency), influencers, role of the stick, **benefits sought from fragrance**, and purchase behaviour (loyalty, price sensitivity, variety-seeking).

Are demographics and geography good criteria? As segmentation bases, no.

- **Age and gender** barely vary: every persona (Poonam, Kiran, Meera, Renuka, Geeta) is a woman from a traditional family. The same 35-year-old woman can seek protection, ritual correctness, calm or status. Demographics can't explain *why* she buys or which fragrance she wants.
- **Occupation** has no link to devotional motivation in the data.
- **Geography** shows skews (Saviours South/East, Rationalists West/East, Image-conscious North, Transactionals everywhere). It is useful for **reaching** segments (regional distribution, fragrances, media weights) but not for defining them.
- Slicing by price per stick is what commoditized the category.

Conclusion: segment on **why** she prays (needs), and use demographics and geography to **reach** her (tactical targeting).

Q3. Which segment(s) should ITC Mangaldeep target and which should they not target? 25 marks · 250 words · this answer ≈ 213
Explain the rationale.

Recommendation: target **Saviours and Rationalists** (primary) and **Purists** (secondary). **Serve** Transactionals through the entry range without brand investment. **Do not target** the Image-conscious.

Segment	Size	Usage / willingness to pay	Loyalty	Fit with Mangaldeep	Decision
Saviour	35%	Daily, ≥4 sticks, 8 items	High, inflexible	High ("pure worship")	Primary
Rationalist	28%	Pays premium for fit	Open to trial	New lever	Primary (growth)
Purist	12%	Highest ritual use	High	Same traditional offer	Secondary
Transactional	18%	Value-seeking, low engagement	Elders decide	Anushri/Sadhvi	Serve, don't invest
Image-conscious	7%	Variety-seeking	Low	Needs status cues	Avoid

- **Attractiveness:** the three targets are **75% of consumers**, with the highest engagement and willingness to pay. Doubling revenue needs value growth in the popular and premium bands, not more ₹0.20 sticks.
- **Compatibility:** Saviours and Purists want authentic, long-lasting fragrance, which fits "pure worship" and ITC's quality. Rationalists are the **new lever**: moving toward modernity, open to new fragrances, not locked into rivals. ITC's fragrance and packaging skills fit.
- **Transactionals** offer **scale value** as users move from unbranded to branded, and a trade-up pipeline. But elders decide and engagement is low, so advertising would be wasted.
- **Image-conscious:** only 7%, extrinsically driven, disloyal and led by the shopkeeper. Winning them would need flashy packaging that dilutes devotional equity, and they are unlikely to become brand lovers.

Q4. Given that ITC Mangaldeep wants to cater to multiple segments, what could be good 35 marks · 500 words · this answer ≈ 436
positioning strategies for each chosen segment? Create positioning statements and explain the rationale.

Strategy: a sub-brand architecture. The Mangaldeep master brand carries trust and the umbrella promise "**devotion, your way.**" Each sub-brand owns one segment's promise and price band. This gives full coverage without overlap.

1. Traditional devotional → Saviours and Purists: Mangaldeep Temple (extended from premium into upper-popular)

- **Frame of reference:** puja agarbattis (Cycle, Zed Black, regional brands). **POPs:** familiar fragrances, availability, fair price per stick. **PODs:** an authentic, natural fragrance that lasts and fills the whole home, which purifies and protects, and makes the puja complete.
- **Reasons to believe:** natural ingredients (sandal, camphor), longer burn, fragrance-locked packs, endorsement by priests.

"For devout women who protect their family through daily ritual, **Mangaldeep Temple** is the only agarbatti among all puja incense that fills every corner of the home with authentic, long-lasting temple fragrance that purifies and protects, because it is made from natural ingredients, burns longer and is fragrance-locked by ITC."

Moves: special-puja kits for Purists, value bulk packs and promotions for heavy users, and communication through priests and festivals.

2. Modern contemporary → Rationalists: new sub-brand Mangaldeep Sukoon

- **Frame of reference:** agarbattis and home fragrances. This is a **straddle**: POP on devotion vs air fresheners, POD on calm and low smoke vs agarbattis. **PODs:** low-smoke, mood-lifting modern fragrances; variety; a simple, personal connection with God.
- **Reasons to believe:** low-smoke formulation, and sniff strips so she can check the aroma before buying.

"For modern women who seek a simple, personal connection with God, **Mangaldeep Sukoon** is the only devotional incense among agarbattis and home fragrances that calms the mind and lifts the mood with low-smoke, contemporary fragrances, because it is crafted by ITC's fragrance experts with low-smoke technology."

Moves: popular-to-premium price, modern trade and e-commerce, mindful-prayer digital content, sampler packs for trial.

3. Entry level → Transactionals: Mangaldeep Anushri / Sadhvi (serve efficiently)

"For busy homemakers who want the family puja done right every day, **Mangaldeep Anushri** is the branded agarbatti that offers familiar fragrances with consistent quality at the best value per stick, because ITC's scale and fragrance-locked packs make it possible."

Moves: grocery-basket distribution, monthly 100-stick packs, trade schemes rather than advertising. This tier is also the trade-up funnel.

Rationale:

- Each POD is the segment's own need (security, ritual authenticity, calm, value), so the Q2 variables become the positioning.
- Distinct benefits and price bands limit cannibalization. Temple and Sukoon shift the mix toward popular and premium (48% of industry value, where ITC under-indexes), so revenue doubles through value, not stick volume.
- One master brand mantra, "**fragrance that connects you to God, your way,**" builds the brand love the objective demands. The Image-conscious are left out deliberately to protect devotional equity.



Quick Reference

Definitions for MCQs and short conceptual questions, a KK page index, and a formula card

E1 Glossary A–Z (with Kotler 17e page)

Term	Definition / key point	KK
3-V principle	An offering must create value for customers, collaborators and the company. The optimal value proposition balances all three	p.35
4As	Customer's view of the 7Ts: attractiveness, awareness, affordability, availability	p.37
5Cs	Customers (centre), collaborators, competitors, company, context (socio-cultural, technological, regulatory, economic, physical)	p.32–34
7Ts	Product, service, brand, price, incentives, communication, distribution (refines the 4Ps)	p.36–38
Ansoff matrix	Penetration, market development, product development, diversification	p.360
Attitude	Enduring favourable or unfavourable evaluation, feeling and action tendency. Hard to change, so adapt the product to existing attitudes	p.66
Brand architecture	Guidelines on which brand elements go on which products: breadth (boundaries) and depth (complexity)	p.212
Brand mantra	3–5 word internal articulation of the brand's essence. Must communicate, simplify, inspire	p.147
Brand personality	Human traits of a brand: sincerity, excitement, competence, sophistication, ruggedness (Aaker)	p.143
Brand portfolio	All brands a firm sells in a category. Maximize coverage, minimize overlap	p.212
Brand resonance	Top of the CBBE pyramid: the customer is "in sync" with the brand (loyalty, attachment, community, engagement)	p.204–206
Brand substitution test	If a competitor's name could replace yours in the campaign and it would still work, the positioning isn't distinct	p.139
Buyer-readiness stages	Unaware → aware → informed → interested → desire → intention	p.130
Buying centre	The B2B decision-making unit: initiators, users, influencers, deciders, approvers, buyers, gatekeepers	p.79
Category membership	Products the brand competes with. Conveyed by announcing category benefits, comparing to exemplars, or the product descriptor	p.140, 150
Choice set / consideration set	Total → awareness → consideration → choice → decision	p.65
Company demand / sales potential	Company's share of market demand at a given effort; the potential is capped by market potential	p.107
Compensatory vs non-compensatory	Strengths offset weaknesses (expectancy-value) vs attributes judged in isolation (conjunctive, disjunctive, lexicographic, elimination by aspects)	p.67
Conjoint analysis	Survey technique that decomposes preference into part-worths of attributes (features, service, price)	p.108
Core competency	Source of advantage + applicable to many markets + hard to imitate	p.119
Customer perceived value	Total customer benefit – total customer cost, relative to alternatives. Domains: functional, psychological, monetary	p.138
Customer value analysis	Identify attributes → rate importance → rate us vs competitors → monitor over time	p.138–139
Derived demand	B2B demand derives from end-consumer demand	p.78
Elaboration likelihood model	Central route (motivation, ability, opportunity) vs peripheral route (cues)	p.69–70
Expectancy-value model	Attitude = Σ importance $\times$ belief. The consumer picks the highest score	p.66–67
Flagship product	The product that best embodies the brand (often the first or best-seller)	p.213
Frame of reference	The benchmark (target + competition) against which customers judge the offering	p.140
G-STIC	Goal, strategy, tactics, implementation, control: the action plan	p.39–42
House of brands / branded house / sub-brand	Separate names / one umbrella name / master + individual name	p.212–213
Laddering	Repeated "why?" questions: attribute → functional benefit → emotional benefit → core value	p.104
Line stretching / filling	Lengthen a line beyond its current range (down, up, two-way) / add items within the range. Risk: cannibalization	p.164–166
Market demand / potential / forecast	Total volume bought / its limit as industry effort → ∞ / the expected level	p.107
Market partitioning	Finding the attribute hierarchy (brand-, price-, type-dominant) consumers use, which reveals segments	p.65
Market segment	Group sharing similar needs and/or profile characteristics	p.126
Market value map	Target market (5Cs) + value proposition (3-V) + offering (7Ts) = the business model	p.38
Mass customization	Individually designed products or communications prepared on a mass basis	p.117
Mental accounting	Segregate gains; integrate losses; integrate small losses with large gains; segregate small gains from large losses	p.68–69
Niche (attractive)	Distinct needs, will pay a premium, small but with growth, few competitors, specialization economies	p.123
Perceived risk	Functional, physical, financial, social, psychological, opportunity (time)	p.71
Perceptual map	Visual of consumer perceptions and preferences. Reveals holes (unmet needs)	p.146

Personas	Detailed profiles of hypothetical target customers used to guide decisions	p.121
Points of difference	Associations that are strong, favourable and unique. Tests: desirable, deliverable, differentiating	p.141–142
Points of parity	Shared associations where "good enough" is enough: category, correlational, competitive	p.144–145
Positioning	Designing the offering and image to occupy a distinctive place in the target market's mind	p.139
Positioning bullseye	Mantra → POPs/PODs → reasons to believe → values/personality + executional properties	p.148
Psychographics / VALS	Traits, values, lifestyle. VALS: primary motivation (ideals, achievement, self-expression) × resources	p.130
Selective attention / distortion / retention	Perceptual filters that make different people see the same stimulus differently	p.59
Share of market / mind / heart	Sales share / first brand that comes to mind / preferred brand	p.362
Straddle positioning	Two frames at once: PODs for one frame are POPs for the other (BMW, Subway)	p.146
Straight rebuy / modified rebuy / new buy	B2B buying situations, from routine to high-risk	p.78
Strategic vs tactical targeting	Whom to serve (value-based) vs how to reach them (profile-based; effectiveness and cost-efficiency)	p.117–121
Target attractiveness	Segment's ability to create value for the company: monetary (revenues – costs) + strategic (social, scale, information)	p.119–120
Target compatibility	Company's ability to create superior value for the segment (resources, competencies)	p.118
Targeting	Choice of which customers to prioritize and which to ignore	p.116
Value proposition	The whole cluster of benefits promised (broader than positioning)	p.138

E2 KK 17e chapter index for Marketing I

Ch	Title	Book pages	Session
1	Defining Marketing for the New Realities	1–26	S1
2	Marketing Planning and Management	27–51	S2
3	Analyzing Consumer Markets	52–75	S4, S5
4	Analyzing Business Markets	76–94	S3
5	Conducting Marketing Research	95–114	S2
6	Identifying Market Segments and Target Customers	115–136	S7, S8, S11
7	Crafting a Customer Value Proposition and Positioning	137–156	S8, S9, S10
8	Designing and Managing Products	157–175	S12
10	Building Strong Brands	199–227	S10
17	Driving Growth in Competitive Markets	359–381	S6
18	Developing New Market Offerings (adoption, chasm)	382–406	S13

Your textbook PDF adds 21 front-matter pages: book page X = PDF page X + 21 (e.g., positioning statement p.139 = PDF p.160).

Figures worth flipping to

Fig 2.2 5C framework (p.33) · Fig 2.6 market value map (p.38) · Fig 2.7 G-STIC (p.40) · Fig 3.3 buying process (p.62) · Fig 3.4 decision sets (p.65) · Table 3.1 expectancy-value (p.67) · Fig 7.1 positioning bullseye (p.148) · Fig 17.1 Ansoff (p.360)

E3 Formula card

Market size (chain ratio)	Target units × penetration × usage per period × price
Market share	Company sales ÷ total market sales (value or volume)
Share of wallet	Our sales to a customer ÷ their total category spend
Penetration × repeat	Share ≈ penetration × repeat rate × relative usage (Parfitt–Collins)
Expectancy-value	$A_{\text{brand}} = \sum w_i \times b_i$
Attribute importance	$\text{Range}_{\text{attr}} \div \sum \text{ranges (conjoint)}$
WTP for a feature	$\Delta \text{part-worth} \div (\text{price part-worth range} \div \text{price range})$
Logit share	$e^{U_i} \div \sum e^{U_j}$
Expected lifetime	$1 \div \text{churn per period}$
CLV (simple)	$\text{Margin per period} \div \text{churn} - \text{CAC}$
CLV (discounted)	$m \times (1+i) \div (1+i-r) - \text{CAC}$
CAC payback	$\text{CAC} \div \text{margin per period}$
Break-even volume	$\text{Fixed costs} \div (\text{price} - \text{variable cost per unit})$
Contribution margin %	$(\text{Price} - \text{variable cost}) \div \text{price}$
Steady-state share (2 brands)	$p(B \rightarrow A) \div [p(A \rightarrow B) + p(B \rightarrow A)]$
Growth rate / CAGR	$(\text{End} \div \text{start})^{1/\text{years}} - 1$. Doubling in 3 years needs about 26% a year

Mangaldeep check: the market grows about 5–6% a year. Doubling in 3 years needs about 26% a year, so roughly **20 points must come from share gain and mix upgrade**. That is the quantitative case for trading up (Temple, Sukoon) rather than volume at ₹0.20 per stick.